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12. Depreciation is to be calculated from the date when
    (a) Asset is put to use
    (b) Purchase order is made
    (c) Asset is received at business premises
    (d) Invoice of assets is received
13. If the rate of depreciation is same, then the amount of depreciation under straight line method vis-à-vis written down value method will be
    (a) Equal in all years
    (b) Equal in the first year but higher in subsequent years
    (c) Equal in the first year but lower in subsequent years
    (d) Lower in the first year but equal in subsequent years.
14. Residual value of an asset means the amount that it can fetch on sale at the ____of its useful life.
    (a) Beginning (b) End
    (c) Middle (d) None

Answers

1(c)	2 (b)	3 (b)	4 (a)	5(b)	6(a)	7(d)	8(a)	9(b)	10(c)	11(b)	12(a)	13(b)	14(b)

II Very short answer questions

1. What is meant by depreciation?
2. List out the various methods of depreciation.
3. Give the formula to find out the amount and rate of depreciation under straight line method of depreciation.
4. What is annuity method?
5. What is sinking fund method?

III Short answer questions

1. What are the objectives of providing depreciation?
2. What are the causes for depreciation?
3. State the advantages and limitations of straight line method of depreciation.
4. State the advantages and limitations of written down value method of depreciation.
5. Distinguish between straight line method and written down value method of providing depreciation.